

# Atlas Trade Provisions LLC

Discount-Rate Support Memorandum — ASC 842 (FY2024)

## Purpose

This memorandum documents the discount rates used to measure lease liabilities, and whether the rate implicit in each lease is readily determinable.

## Rates by asset class

| Asset class            | Implicit rate determinable? | Rate used | Basis                                        |
|------------------------|-----------------------------|-----------|----------------------------------------------|
| Warehouse building     | No                          | 6.5%      | Incremental borrowing rate (5–10 yr secured) |
| Cold-storage equipment | Yes                         | 7.0%      | Rate implicit in the lease                   |
| Delivery fleet         | No                          | 6.8%      | Incremental borrowing rate (3–5 yr secured)  |

Where the rate implicit in the lease is not readily determinable, the incremental borrowing rate is used, derived from the company's secured borrowing rates for terms approximating each lease. At a lease modification, the discount rate is reassessed as of the modification date.

The incremental borrowing rates were estimated using the company's recent secured financing and published yield benchmarks for comparable terms and credit quality.